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## **GUIDANCE DOCUMENT 2: QUICK GUIDE FOR NON-EU OPERATORS ON CBAM IMPLEMENTATION**

*Disclaimer: This guidance document is not legally binding and it is of an explanatory nature. Legal provisions of Union law take precedence over the contents of this document and should always be consulted. The authentic texts of the EU legal instruments are those published in the Official Journal of the European Union. This guidance was prepared by Commission services and does not represent an official position of the Commission. Only the Court of Justice of the European Union is competent to authoritatively interpret Union law.*

## VERSION HISTORY

| Date       | Version notes                                                 |
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| 14.08.2026 | First Publication of this document for the definitive period. |

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## 1 PREFACE: STRUCTURE AND CONTENT OF THE GUIDANCE DOCUMENTS

This series of documents has been written to support stakeholders by explaining the requirements of the CBAM Regulation in a non-legislative language. This series of guidance documents should benefit a variety of stakeholders. A specific focus has been put on clarifying the **requirements for operators of installations producing CBAM goods outside of the EU for the definitive period**.

- **Guidance 1** provides an overview of the main changes to the CBAM methodology between the definitive period and the concluded transitional period. It also introduces the CBAM and an overview of the compliance cycle, roles and responsibilities, as well as milestones and deadlines for operators of installations outside the EU during the definitive period and explains the **general** exemptions from the CBAM.
- **Guidance 2** provides a quick guidance for the intended reader of this document, the operator of an installation producing CBAM goods. It provides a roadmap of the most important concepts of CBAM emissions monitoring and where to find more information in this series of documents.
- **Guidance 3** sets out the monitoring and reporting obligations and recommendations which are potentially applicable to any affected producer of CBAM goods.
- **Guidance 4** provides an overview of how the adjustment for free allocation is to be determined and what information is needed.
- **Guidance documents 5a, 5b, 5c, 5d, 5e and 5f** present an overview per sector of the production processes and value chains for goods that are included in the scope of the CBAM, as well as sector-specific monitoring and reporting considerations for each CBAM good where this is relevant. These sections are supplemented by examples for each sector.

The series of guidance documents is accompanied by an electronic template for information that should be used by installation operators to communicate information to the authorised CBAM declarants and CBAM Registry.

In this document we provide a step-by-step overview of important concepts, rules and obligations under the definitive period. This builds on the experience gained during the transitional period (1 October 2023 to 31 December 2025).

## 2 UNDERSTANDING THE CBAM: MAIN ROLES AND CONCEPTS

### Are you an operator of an installation producing “CBAM goods”?

CBAM goods are goods from the cement, iron and steel, aluminium and some chemical industries (fertilisers and hydrogen), and electricity included in Annex I of the CBAM Regulation. To answer this question, you must compare the CN codes<sup>1</sup> of your products against the list of goods given in Annex I to the CBAM Regulation.

If you do not produce such goods, you do not have to read this document. However, it is written to be of help also to all other kinds of interested audiences (academia, CBAM importers, GHG verifiers, competent authorities, consultants, etc.).

### Are you exporting your goods to customers in EU Member States?

The CBAM affects you if this is the case.

**Please note** that your products are also subject to CBAM if they are purchased by clients who themselves manufacture CBAM goods. In that case, your products serve as “precursor” for their CBAM goods, which then may be exported to EU countries. Also, if you sell your products to traders who then sell them to EU customers, your goods fall under the CBAM.

In all those cases where CBAM goods end up being imported into the EU, at some point the importer will contact you to gather information on the “embedded emissions” of these CBAM goods. Alternatively, the operator using your goods as precursor for producing other CBAM goods will ask for the embedded emissions. **Therefore, you must be prepared to provide these data** and as soon as possible start to develop a monitoring methodology at your installation, as described in this guidance document.

### How to communicate your data?

At this time, two different routes are available:

- The recommended, but currently voluntary method is that you, as the operator, obtain a **registration in the CBAM Registry**, i.e. the IT system run by the European Commission for managing inter alia the CBAM Declarations by the authorised declarants, their purchases and surrenders of CBAM certificates, and the verification process. If you choose this approach, you need to upload your emissions data for each installation *only once*, and after verification, you will be able to share the relevant data with *all declarants* who import your goods into the EU. In 2027, the CBAM Registry will be extended so that you can also share emissions data with other operators who use your goods as precursors for their own CBAM goods. You are strongly advised to register and share emissions data through the CBAM Registry, since this will greatly facilitate the declaration of emissions by authorised CBAM declarants. Furthermore, using the CBAM registry helps you protect potentially confidential parts of the emissions reports by limiting the information seen by the declarant to a summary of the emissions report.
- Alternatively, without such a registration, you will have to organise the data communication with authorised CBAM declarants and other operators using your own

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<sup>1</sup> CN (Common Nomenclature) codes are the EU version of the HS (Harmonised System) codes for international trade. CN codes consist of 8 digits (the first 6 digits are identical to the HS code). Where Annex I to the CBAM Regulation contains fewer digits, it means that all CN codes starting with those digits are covered.

tools, but using the same emissions report template as used by registered operators. With this approach you would have to communicate with all concerned parties separately, which you may find inconvenient. It is recommended to use email only for non-confidential communication, unless you and your recipient have the ability to use encrypted emails. In this context you should note that authorised declarants are obliged to request complete verification reports and emissions reports from you, in order to make them available in case of review by the competent authorities, whereas with registration, declarants and other operators gain access only to necessary summary data for you.

**For registering in the “O3CI” Module<sup>2</sup> of the CBAM Registry**, please see the Commission’s CBAM Website:

[https://taxation-customs.ec.europa.eu/carbon-border-adjustmentmechanism/cbam-registry-and-reporting\\_en#module-for-non-eu-installation-operators-o3ci](https://taxation-customs.ec.europa.eu/carbon-border-adjustmentmechanism/cbam-registry-and-reporting_en#module-for-non-eu-installation-operators-o3ci)

At that site, you will find respective guidance documents and video tutorials for the registration process.

### **What are embedded emissions?**

The concept has been developed to reflect as much as possible the way in which emissions are covered by the EU ETS if the CBAM goods were produced in the EU. The EU ETS requires operators to pay a price for their own (“direct”) emissions. However, if they consume electricity, they also incur the CO<sub>2</sub> costs included in the price of electricity they purchase<sup>3</sup> (carbon costs associated with “indirect emissions”). The same applies to the input materials needed for their production process, and which may be supplied by an EU ETS installation. These so-called precursors therefore contribute to the carbon costs the EU ETS installation faces. The “embedded emissions” are defined in parallel to the emissions causing carbon costs in the EU ETS: they take into account the direct and indirect<sup>4</sup> emissions of the production process as well as the embedded emissions of precursors, subject to the sector-specific rule on whether indirect emissions are in scope for the good and (where relevant) for its precursors. Embedded emissions are similar in concept to a carbon footprint of the goods. The scope of the CBAM is principally related to the rules of the EU ETS and therefore has differences to other methods for calculating product carbon footprints such as the “GHG Protocol” or ISO14067.

## **3 PLANNING THE MONITORING PLAN**

### **What do you need to monitor?**

To answer this question, you need to perform the following steps to develop your monitoring methodology and document it in writing as a ‘monitoring plan’ (**MP**), i.e. the

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<sup>2</sup> O3CI = Operators of 3<sup>rd</sup> country Installations

<sup>3</sup> If the EU installation produces its own electricity, it experiences the CO<sub>2</sub> costs directly.

<sup>4</sup> In the definitive period, indirect emissions are taken into account only for those CBAM goods for which indirect emissions are required under the CBAM Regulation (i.e. CBAM goods listed in Annex I to Regulation (EU) 2023/956, other than those listed in Annex II, for which only direct emissions are taken into account).

handbook you and your personnel use as a basis for performing monitoring tasks in a consistent way during the coming years. This monitoring plan will be of crucial support also during the verification process. The presented steps will ensure that all the data which you need to calculate embedded emissions are covered.

- Step 1: Define the **installation's boundaries**, production processes and production routes. Production process means the system boundaries which are needed to attribute emissions to specific goods produced, to which the same 'functional unit' applies<sup>5</sup>. A production process shall be identified for goods to which the same functional unit applies and shall, where relevant, encompass all production routes used within the installation for producing those goods.

Since the functional unit focusses on CN codes for defining the boundaries of each production process, there could be a high number of production processes which require separate monitoring. To avoid this situation, i.e. to aggregate several CN codes into production processes that are more manageable from a monitoring point of view, the Methodology Act provides for rules on how to aggregate goods into larger production processes.

- Step 2: Define the **reporting period** you are going to use. For your own installation's emission monitoring, in the definitive period, the reporting period corresponds always to the calendar year<sup>6</sup> during which the goods are produced. When the authorised CBAM declarant imports the goods this information serves as reference for the determination of embedded emissions. Where there is sufficient evidence to identify the actual time of production, the reporting period shall be the period during which the good was produced (but not before 2026); otherwise, for goods imported in 2026 the reporting period shall be 2026 and for goods imported in subsequent years the reporting period shall by default be the calendar year during which the good was imported. For electricity imported into the customs territory of the Union, the reporting period shall be the year of import.
- Step 3: Identify all the **parameters you need to monitor**:
  - **Direct emissions** of the installation: you have two options available:
    - a) The "calculation-based" approach, where you need to determine the **quantities of all fuels and relevant materials**<sup>7</sup> consumed, and corresponding "calculation factors" (in particular the so-called "**emission factor**" based on the carbon content of the fuel or material);
    - b) The "measurement-based" approach, where you need to measure in real-time the **concentration of the greenhouse gases** as well as the **flow of the flue gas** for each "emission source" (stack).

In the definitive period, you must apply the monitoring and calculation methods laid down in the Monitoring Regulation. For PFC<sup>8</sup> emissions from primary aluminium production a special methodology based on overvoltage measurements must be applied. For N<sub>2</sub>O emissions from nitric acid production, the measurement-

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<sup>5</sup> If you are familiar with the EU ETS, it may help you to understand the concept of "production process" that it is very similar to the "sub-installations" used for benchmarking.

<sup>6</sup> Gregorian calendar, i.e. from 1 January to 31 December.

<sup>7</sup> The term "source stream" is used to cover both, fuels and other input or output materials that have an influence on emissions.

<sup>8</sup> Perfluorocarbons.

based method is compulsory. In all other cases, you may choose which method best fits to the situation of your installation.

Additionally, if your installation has more than one production process, there may be a need to monitor fuel or material streams between the production processes in order to enable correct attribution of emissions to production processes<sup>9</sup>.

- **(Direct) emissions related to heat flows**<sup>10</sup>: Heat consumption (of both heat produced in the installation or received from a separate installation) needs to be attributed to each production process, and emissions related to heat exported from production processes need to be deducted from the attributed emissions of each production process from where the heat is produced or recovered. Therefore, rules for monitoring heat flows are found in section C of Annex II and section A.2.2 of Annex III to the Methodology Act. There are also rules on determining the **emission factor of heat**.
- **Indirect emissions**: For goods listed in Annex I to the CBAM Regulation and not listed in Annex II to that Regulation, indirect emissions must be included. These are emissions occurring during the production of the electricity your installation consumes for its production processes, irrespective of whether this electricity was produced within the installation or imported from outside. If you produce such goods, you need to monitor the quantities of **electricity consumed** in each relevant production process and multiply it by the relevant emission factor of electricity. For the emissions factor, the following options exist:
  - i. If the electricity comes from the grid, you use the emission factor made available in Annex II to the Default Values Act (which were determined in accordance with Annex IV to the CBAM Regulation).
  - ii. If you produce electricity yourself in your installation (i.e. you are an “auto-producer”), you need to monitor the emissions of the power plant or CHP plant<sup>11</sup> in the same way as you monitor other direct emissions of your installation, and **use specific rules to calculate the emission factor from the fuel mix** and taking into account CHP heat production, if applicable. The relevant rules are found in points D.4.1 and D.4.2 of Annex II to the Methodology Act.
  - iii. If you receive electricity from a specific installation other than your own one, you may want to use that installation’s actual emissions data. For this purpose,

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<sup>9</sup> For example, if a blast furnace produces pig iron, a part of the waste gases is usually used as fuel in other parts of the installation (e.g. a power plant or a hot-rolling mill). In such a case, the quantity and calculation factors need to be determined also for this waste gas, although they are not necessary to calculate the total emissions of the installation.

<sup>10</sup> Note 1: this is only about “**measurable heat**”, i.e. heat that is transported via a heat medium such as steam, hot water, liquid salts, etc. and where its flow rate can be measured in a pipe, duct, etc. Where heat is produced in a burner and directly used e.g. in a kiln or dryer there is no need to monitor the heat flow, instead the emissions are determined from the fuel consumption. On the other hand, measurable heat is often produced centrally or at several points in the installation, which do not directly correspond to the system boundaries of production processes. It is therefore useful to determine the emissions of the heat production separately, and to attribute the emissions to production processes via the heat consumed in each production process.

Note 2: In the context of carbon footprints, emissions from (imported) heat is often considered “scope 2 emissions” and therefore termed “indirect emissions”. Please be aware that in the CBAM legislation as well as in this document, the expression “indirect emissions” refers only to electricity, not heat.

<sup>11</sup> CHP means combined heat and power, also known as “cogeneration”.

you need to provide evidence either for the fact that the specific installation (supplying power) is directly connected to your own one, or that you have a valid “power purchase agreement”. Furthermore, that power plant must monitor its emissions in line with the same rules as applicable for auto-produced electricity, have it verified and communicate that information to you appropriately. If these criteria are fulfilled, you may use the resulting emission factor for this electricity. Additional evidence and documentation requirements apply where actual emissions are used for imported electricity, as set out in point D.2.4 of Annex II to the Methodology Act.

Where an installation receives electricity from multiple sources during a reporting period, the embedded indirect emissions shall by default be determined as the average of the emission factors of each electricity source, weighted by the share of total electricity consumed that the electricity received from each source represents; however, where sufficient evidence is provided that for a given production process, only electricity from one single source, or from a subset of sources, was used, the embedded indirect emissions for goods produced through that production process shall be determined accordingly.

- **Precursors:** The concept of embedded emissions includes the addition<sup>12</sup> of embedded emissions of certain materials used in the production process, the so-called precursors. **Which precursors are relevant** to each production process is determined by the definition of “precursor” in Article 1 of the Methodology Act, which refers to all CBAM goods (i.e. the goods listed in Annex I to the CBAM Regulation) if they are used in a production process. There is no threshold defined for omitting minimal amounts of precursors. However, the Methodology Act clarifies that “*the purchase and maintenance of infrastructure and equipment*” are excluded<sup>13</sup>. In addition, cross-sectoral rules clarify how precursor embedded emissions are accounted for (including where precursors are produced on-site or acquired). The following parameters need to be monitored for each precursor material:
  - a) **If the precursor is produced within your installation**, all relevant monitoring is already done in line with the above points. You only need to take the precursor’s embedded emissions into account when calculating the embedded emissions of the goods which use the precursor in the production process.
  - b) **If you purchase the precursor** from other installations, and if you want to use actual data instead of default values, you need to request data from the relevant producers in the same way as you are asked for data when your goods are imported into the EU. This means, a valid, positive verification report from the installation producing the good, covering the relevant year of production, needs to be provided, and you have to keep it in your records. The relevant information to be used then in your calculation of embedded emissions includes the following, for each precursor, by precursor CN code (and, where

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<sup>12</sup> Note the difference between precursors and normal input materials: For the determination of direct emissions it is taken into account that the carbon atoms contained in a material may be oxidised to CO<sub>2</sub> and emitted. However, for *precursors*, additionally the emissions which took place already earlier (during their own production), i.e. the precursor’s embedded emissions, need to be added.

<sup>13</sup> E.g. materials purchased by the installation for maintaining its existing infrastructure or creating new infrastructure (such as steel or cement used for construction) are excluded from the installation’s system boundaries.

relevant, by reporting period and installation of production), as needed to apply the default weighted-average rules:

- Identification of the installation(s) where it was produced and the applicable reporting period(s);
  - The specific<sup>14</sup> direct and indirect embedded emissions of the precursor;
  - The production route, and additional parameters that the importer needs to report when the final good is imported to the EU under the CBAM. These additional parameters are listed in point 2 of Annex IV to the Methodology Act.
  - The reporting period applied by the producer of the precursor (noting that, by default, the reporting period of a precursor is the year of production of the complex good, unless sufficient evidence identifies the actual time of production).
  - Where actual data is provided for precursors produced outside the installation producing the complex good, the relevant verification report issued by an accredited verifier covering the reporting period during which the precursor was produced.
  - The specific embedded free allocation of the precursor.
  - If applicable, information on a carbon price paid in the relevant jurisdiction production of the precursor.
  - Where a precursor originates in the Union or in exempted countries/territories, the precursor's specific embedded emissions (direct and, if applicable, indirect) are counted as zero for the complex good calculation. However, the information to identify the precursor and the quantities used must still be monitored and reported.
- c) In both cases, i.e. for purchased or self-produced precursors, you need to monitor the **quantity of each precursor you used** during the reporting period for each of your production processes.

Where indirect emissions are included in embedded emissions for a complex good, note that: (i) if the complex good is listed in Annex II to the CBAM Regulation and includes precursors not listed in Annex II, the precursor's indirect emissions are included; (ii) if the complex good is not listed in Annex II and includes precursors listed in Annex II, indirect embedded emissions from that precursor are not included.

The rules for monitoring precursor-related data are found in point E of Annex II to the Methodology Act.

- Finally, there are some **additional qualifying parameters** that the EU importer needs to report under the CBAM. These depend on the goods produced. For example, for cements imported, the total clinker content needs to be reported, for mixed fertilisers the contents of the different forms of nitrogen, etc. The relevant parameters are listed in point 2 of Annex IV to the Methodology Act. You need to ensure that you collect all the parameters necessary for your CBAM goods and communicate them to the importers of your goods or downstream producers of other CBAM goods.

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<sup>14</sup> Specific (embedded) emissions means emissions related to one tonne of the material under discussion.

- **Step 4: Determine the methodology to monitor each parameter** you have identified:
  - For **quantities of fuels and materials** (including precursors) used, you may either have measurement instruments available which tell you how much has been consumed during the reporting period (e.g. weighing belts, flow meters, heat meters, etc.) or you may determine the used amounts from purchase records and stock measurements at the end of each period.
  - For the so-called **calculation factors** (e.g. the carbon content of the fuel or material) you can either choose a “standard value” from applicable literature (in particular national GHG inventories submitted under the UNFCCC/ Paris Agreement) or from point G of Annex II to the Methodology Act, or you can determine them based on laboratory analyses, for which the Methodology Act provides further rules in point B.5.4 of Annex II.
  - For continuous emission measurements, heat flow and electricity measurements you also need to define the **instruments to use**, and applicable calibration and maintenance measures.
  - In some cases, it may be necessary to define **estimation methods**, or **indirect methods** based on known correlations of measurement parameters.
  - As the very last resort, if you have no other methods available for monitoring your goods’ embedded emissions, and in particular if the producer of your precursors used does not provide the required data, you may use the **default values for embedded emissions** of CBAM goods (which include precursors) laid down in accordance with Annex IV to the CBAM Regulation, as referred to in Article 11 of the Methodology Act.

Note that sometimes you may have the choice of different monitoring approaches (e.g. you may have more than one measurement instrument, or you need to choose between continual metering and use of batch-wise delivery records, or choose between calculation-based and measurement-based methods, etc.) The Methodology Act contains provisions in section A.3 of Annex II on how to select the best available (i.e. most accurate) data source.

- **Step 5: Determine data needs for the free allocation adjustment:**

What is required to determine the free allocation? As a new element in the definitive period of the CBAM, you as an operator must also determine the **level of free allocation** which you would receive for your production process if your installation were situated in the EU. This level of free allocation is deducted from the embedded emissions to determine the amount of CBAM certificates which the authorised declarant has to surrender upon the import of your goods (“the CBAM obligation”). This is necessary to make the CBAM obligation comparable to the carbon costs faced by EU ETS operators. The rules to determine the “embedded free allocation” of CBAM goods are well aligned with the monitoring needs you already have for the embedded emissions. Like for embedded emissions, either default values (“default CBAM benchmarks”) can be used or values that take into account actual data from your installation. Because the free allocation in the EU ETS is phased out while the CBAM is gradually introduced, the production year of the goods produced and of the precursors used are important parameters.

- **Step 6: Determine data needs if you pay a carbon price in your own jurisdiction:**

Do you pay a carbon price in your own jurisdiction? To ensure similar treatment between installations in the EU ETS and in other countries, an effective carbon price paid in the country where a CBAM good is produced allows for a reduction in the CBAM obligation in the definitive period from 2026 onwards. This is a reporting requirement under the CBAM Regulation, because EU authorised declarants need this information to calculate any related reduction of CBAM certificates. You need to ensure that you include information on carbon pricing in your monitoring methodology, so you can convey the relevant information to the importer of your CBAM goods.

If your installation is subject to a carbon price, you will have to collect information on the carbon price paid, in such a way that you can attribute it to production processes and CBAM goods categories, in a similar way as you attribute embedded emissions to the goods. The *effective* carbon price is to be considered, i.e. taking into account any applicable rebates (in case of an ETS, any free allocation is considered a rebate).

Note that you need to collect **information for each precursor purchased** if a carbon price applies in its country of origin. If the producer of the precursor does not provide the required information, you can use default carbon price values for the precursor, when they will be published by the Commission.

The total effective carbon price needs to be attributed to the CBAM goods in a similar way as the specific embedded emissions, i.e. it needs **to be expressed as euros per tonne of CBAM good** (or euros per MWh in case of imported electricity).

The reporting rules of information regarding the carbon price paid are to be found in the Implementing Act pursuant to Article 9 to the CBAM Regulation. A separate guidance document on topics related to the carbon price paid in third countries will be provided on the Commission's website.

- **Step 7: Set up data flow and control procedures:**

In order to minimise the risk of misstatements <sup>(15)</sup>, the operator shall define data flow procedures and set up a control system accompanying the monitoring plan. The better the control system functions, the simpler will be the verification. While the rules for such control system are not spelled out in detail in the Methodology Act, CBAM guidance document No. 3 on methodology in its section 4.5.6 provides guidance. In the Monitoring and Reporting Regulation (MRR) for the EU ETS there are more detailed requirements, which may serve as guidance for CBAM operators, too. They are explained in detail in the Commission's MRR guidance document No.6 ("Data flow activities and control system") <sup>(16)</sup>. For the CBAM, the following step-by-step recommendation can be given:

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<sup>15</sup> 'misstatement' means an omission, misrepresentation or error in the operator's reported data, not considering the uncertainty permissible for measurements.

<sup>16</sup> It can be found in the MRR guidance section of [https://climate.ec.europa.eu/eu-action/carbon-markets/eu-emissions-trading-system-eu-ets/monitoring-reporting-and-verification\\_en?prefLang=de#documentation](https://climate.ec.europa.eu/eu-action/carbon-markets/eu-emissions-trading-system-eu-ets/monitoring-reporting-and-verification_en?prefLang=de#documentation)

- Step 7a: Perform a (simplified, if appropriate) risk assessment on the data flows. This has to take into account the probability of an error to happen, and its impact (e.g. inaccurate data, complete loss of data, size of the data gap resulting). Identify areas of high and medium risk which require control activities.
- Step 7b: Define the control measures (e.g. corroboration of data with a second data source, regularly performing independent reviews (“4-eyes principle”), installing redundant measurement instruments, define maintenance and calibration cycles for instruments, etc.).
- Step 7c: Repeat the risk assessment including the control measures defined. If there are still remaining high or medium risk issues, go back to step 7b.

It is to be noted that a control system is a “living system”, i.e. the control measures should be evaluated for their effectiveness regularly, and where relevant, e.g. because new data flows are introduced, the risk assessment may have to be repeated or at least updated. Therefore, the above steps have to be understood as being performed at the time the monitoring plan is developed.

## 4 DEVELOPING THE MONITORING PLAN

**Compile the monitoring plan (MP) for the installation:** At this point you have listed all the monitoring methods for all the materials or emission sources you need to monitor throughout the year. You must then compile this information together into one written document (the “monitoring plan” of your installation) so that the selected monitoring methods and information that comprises your monitoring methodology can be consistently used over the coming years. This should be done in a systematic way (e.g. by listing all measurement instruments, all reading intervals, all data sources for standard values). An outline template containing the minimum required elements for the installation monitoring plan is provided in section A.5 of Annex II to the Methodology Act.

The guiding principle for setting up this monitoring plan is that it must be sufficiently clear and transparent so that independent persons, who have some knowledge of GHG monitoring, are enabled to understand the monitoring methodology. It needs to be detailed enough to serve as instructions to the installation’s personnel to perform all necessary tasks for determining the embedded emissions of goods. It must therefore also contain the applicable calculation steps, and all calculation factors which are not determined by analyses. The monitoring methodology that is documented in the monitoring plan should only be subsequently changed where this can be objectively justified; for example, relevant reasons could be changes to the configuration of the installation in terms of technology used, input materials or fuels used, or goods produced; or the introduction of new data sources or monitoring methods; or changes to data collection e.g. improvements to the data control system.

For laying down the monitoring methodology for all relevant parameters, and for respective data flows and calculation steps, operators shall design and implement a monitoring plan containing at least the elements outlined in section A.5 of Annex II to the Methodology Act. The monitoring plan shall be made available (in particular to the verifier) in English. However, as it needs to serve as a “recipe book” to the installation’s personnel, you should also have a version in your local language available. It may also be helpful to check the monitoring methodology against the templates for the operator’s emissions report and the summary thereof, as set out in points 1.1. and 1.2. of Annex IV

to the Methodology Act. You may want to use the data requirements of that template for checking the completeness of the MP.

Furthermore, the MP needs to contain control measures in the data flow from primary data to final specific embedded emissions. These measures must be commensurate with the risks for errors. Measures should include frequent checking by an independent person, and comparing data from different sources, consistency checking of time series, etc.

## 5 PERFORM MONITORING AND PREPARE THE EMISSIONS REPORT

**Perform monitoring throughout the reporting period:** While all the steps above are necessary only once to prepare your installation and its staff for the monitoring tasks, this and the following point are to be performed continuously throughout all the following years.

You have to perform the monitoring tasks defined in the MP. You have to regularly read fuel meters, take stock of materials consumed or produced, take samples of fuels or materials to be analysed, carry out maintenance, control and calibration of measuring instruments, etc. You need to collect the relevant data, perform calculation of emissions, and perform all relevant quality control and assurance measures defined in the MP.

Furthermore, at least once per reporting period, you must review the MP and check if it is still accurate and appropriate. For instance, does it still reflect the technologies used in your installation, is the list of produced goods still up to date? Have new fuels or materials become relevant? Can you use better (more accurate) monitoring methods and can you reduce the risk for errors in the data flow? All changes and improvements must be documented in the MP, and you must ensure that only the latest version of the MP is used.

Finally, you must **communicate the embedded emissions data of your CBAM goods to the EU importer(s)** who bear(s) the reporting obligation under the CBAM Regulation. As you may sell your goods to a multitude of clients, there may be a large number of EU importers who must request this information from you. In order to perform this communication as efficiently as possible, where the embedded emissions are calculated based on actual emissions, operators shall prepare an annual emissions report (“operator’s emissions report”) and a summary thereof, and, where the embedded emissions of electricity are calculated based on actual emissions, operators shall, in addition, prepare a declarant-specific addendum to the operator’s emissions report.

The use of this ‘**operator’s emissions report**’ template is mandatory in accordance with Article 10 of the Methodology Act. The use of such **a common template greatly simplifies the communication** on both ends. Your customers may be established in different EU Member States, may speak different languages, and may themselves purchase CBAM goods from many suppliers in different countries. The common **operator’s emissions report** template ensures a common reporting format in English, so that the same type of information can always be found in the same field in the template.

After the end of a calendar year, you must **compile the monitored data of the whole reporting period**, determine the attributed emissions of each production process, and divide them by the corresponding “activity level” (i.e. the total tonnes of goods or other functional unit under the related CBAM category produced within the reporting period) in order to get the **specific embedded emissions of this good**. This is the main parameter the EU importer is interested in. Until you finalise the data compilation of the following reporting period, you should use these embedded emissions data (using the template you

have filled for this reporting period) and provide it to all your customers who need them for CBAM purposes.

The **operator's emissions report** template is intended to facilitate the communication of embedded emissions data from operators of installations to authorised CBAM declarants..

## 6 VERIFICATION: KEY CONCEPTS

If you provide your emissions data and free allocation data to the authorised declarant for use in the CBAM declaration, or to other operators who use your products as precursors for other CBAM goods, these “actual data” are eligible to be used instead of default values only if they are verified by an accredited verifier. For this purpose, **you as operator of the installation must contract a verifier.**

The verifier must have an accreditation from a National Accreditation Body situated in the EU, valid at the time it issues the final verification report. The accreditation must cover the industrial sector of your installation. In order to avoid capacity bottlenecks near the end of the reporting period, you should seek for a verifier already early during the reporting period. The verifier will then guide you through the process. This usually means that the verifier will request all documents and data from you which are relevant to verification, will agree the time of a site visit, etc.

### Certification

In case of the **carbon price paid** in third countries, the Article 9 of the CBAM Regulation requires data to be “***certified** by a person that is independent from the authorised CBAM declarant and from the authorities of the third country.*” The implementing act on carbon price provides further competence requirements for such certifiers. Accredited verifiers (see above) may also meet these requirements. A separate guidance document on topics related to the carbon price paid in third countries will be provided on the Commission’s website.